

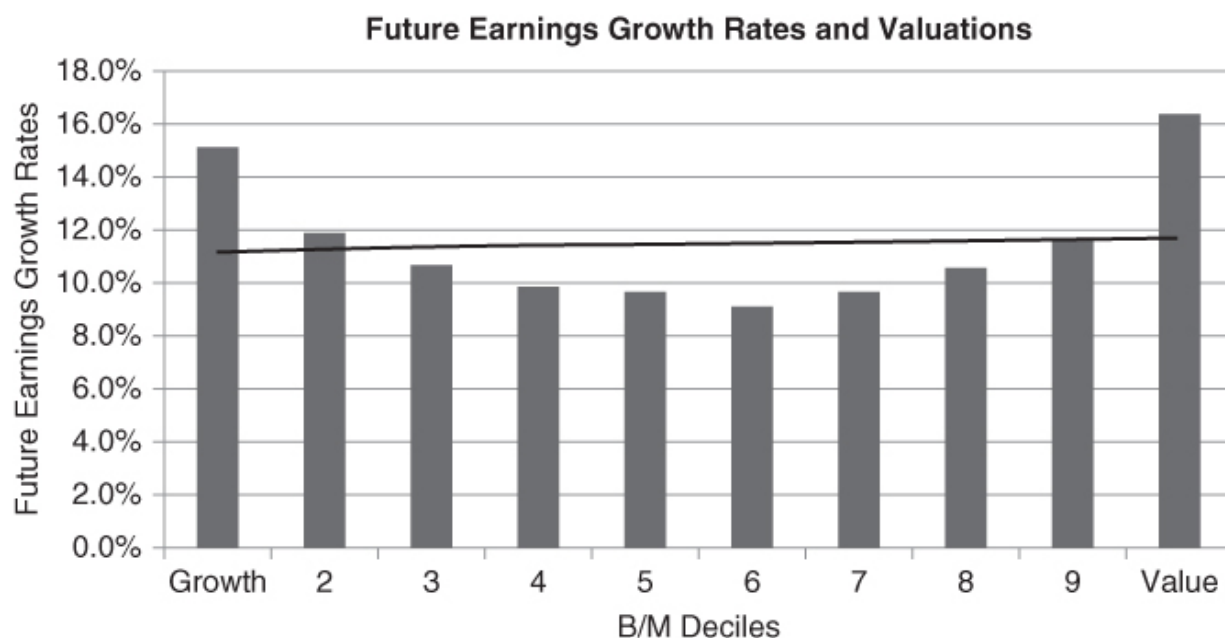


Figure 8.2 Future 5-Year Earnings Growth Rates

We would be remiss if we did not mention the key finding by Dechow and Sloan in 1997,⁸ who take the LSV analysis one step further. Dechow and Sloan argue that the value premium isn't driven by naïve extrapolation of past fundamental performance metrics, but instead, the value premium is caused by a naïve reliance on analysts' forecasted earnings growth. In other words: avoid sell-side analyst forecasts. Analysts, like other humans, suffer from representative bias, and extrapolate past earnings growth rates too far into the future. Regardless of the nuanced arguments among the behavioral camp, the point is clear: Excess returns associated with value stocks appear to be driven by mispricing due to human bias.

A Simple Value Model that Works

Value investing has worked over a long period of time, and the foundation for the excess returns associated with cheap stocks is likely due to human behavioral bias. To exploit this anomaly as a DIY investor, we need to identify the best methodology, but also keep things simple. To identify the best method we examine three commonly used valuation measures.

- B/M
- E/P
- EBIT/TEV